



Classical School of Economic Thought

HISTORY OF ECONOMIC THOUGHT
SEMESTER V

Classical Economics- introduction

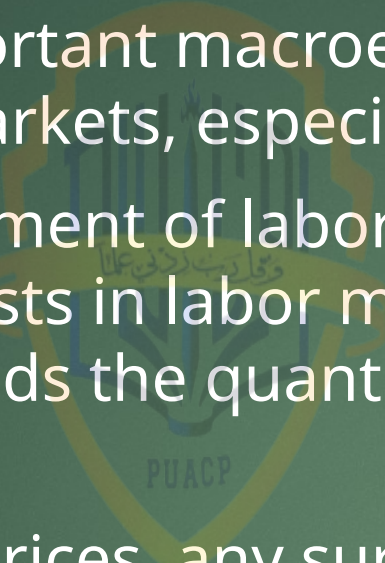
- ▶ Developed in the 18th and 19th centuries, included a value theory and distribution theory.
- ▶ The value of a product was thought to depend on the costs involved in producing that product. The explanation of costs in Classical economics was simultaneously an explanation of distribution.
- ▶ A landlord received rent, workers received wages, and a capitalist tenant farmer received profits on their investment. This classic approach included the work of Adam Smith and David Ricardo.
- ▶ The Classical Economists are Jeremy Bentham · Bernard Mandeville · John Ramsay McCulloch · Thomas Malthus · James Mill · John Stuart Mill · David Ricardo · Jean-Baptiste Say · Nassau William Senior · Jean Charles Léonard de Sismondi · Adam Smith · Johann Heinrich von Thünen.

ASSUMPTIONS OF CLASSICAL ECONOMICS:

- ▶ Classical economics, especially as directed toward macroeconomics, relies on three key assumptions:
 1. Flexible prices
 2. Say's law
 3. Saving-investment equality.

1. Flexible prices:

- ▶ Ensures that markets adjust to equilibrium and eliminate shortages and surpluses.
- ▶ The first assumption of classical economics is that prices are flexible. Price flexibility means that markets are able to adjust quickly and efficiently to equilibrium.
- ▶ While this assumption does not mean that every market in the economy is in equilibrium at all times, any imbalance (shortage or surplus) is short lived.
- ▶ Moreover, the adjust to equilibrium is accomplished automatically through the market forces of demand and supply without the need for government action.

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- ▶ The most important macroeconomic dimension of this assumption applies to resource markets, especially labor markets.
 - ▶ The unemployment of labor, particularly involuntary unemployment, arises if a surplus exists in labor markets. With a surplus, the quantity of labor supplied exceeds the quantity of labor demanded at the existing price of labor (wages).
 - ▶ With flexible prices, any surplus is temporary. Wages fall to eliminate the surplus imbalance and restore equilibrium and achieve full employment.
 - ▶ If, for example, aggregate demand in the economy takes a bit of a drop (perhaps due to fewer exports of goods to other countries), then production also declines (temporarily) and so too does the demand for labor, creating a surplus of labor and involuntarily unemployed workers. However, flexible prices means that wages decline to eliminate the surplus

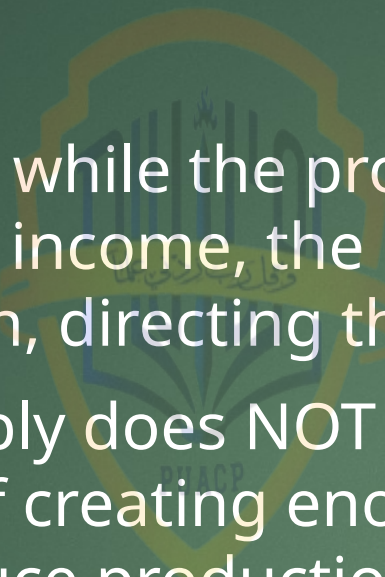
Say's law:

- ▶ States that supply creates its own demand and means that enough income is generated by production to purchase the resulting production.
- ▶ The second assumption of classical economics is that the aggregate production of good and services in the economy generates enough income to exactly purchase all output.
- ▶ This notion commonly summarized by the phrase "supply creates its own demand" which is attributed to the Jean-Baptiste Say, a French economist who helped to popularize the work of Adam Smith in the early 1800s. Say's law was a cornerstone of classical economics, and although it was subject to intense criticism by Keynesian economists, it remains relevant in modern times and is reflected in the circular flow model.

- ▶ Say's law is occasionally misinterpreted as applying to a single good, that is, the production of a good is to be purchased by waiting buyers. That law actually applies to aggregate, economy-wide supply and demand.
- ▶ A more accurate phrase is "aggregate supply creates its own aggregate demand." This interpretation means that the act of production adds to the overall pool of aggregate income, which is then used to buy a corresponding value of production, although most likely not the original production.
- ▶ This law, first and foremost, directed attention to the production or supply-side of the economy. That is, focus on production and the rest of the economy will fall in line. Say's law further implied that extended periods of excess production and limited demand, the sort of thing that might cause an economic downturn, were unlikely. Economic downturns could occur, but not due to the lack of aggregate demand.

The saving-investment equality:

- ▶ Ensures that any income leaked from consumption into saving is replaced by an equal amount of investment.
- ▶ The last assumption of classical economics is that saving by the household sector exactly matches investment expenditures on capital goods by the business sector.
- ▶ A potential problem with Say's law is that not all income generated by the production of goods is necessarily spent by the household sector on consumption demand--some income is saved.

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- ▶ In other words, while the production of \$100 million of output generates \$100 million of income, the household sector might choose to spend only \$90 million, directing the remaining \$10 million to saving.
 - ▶ If so, then supply does NOT create its own demand. Supply falls \$10 million short of creating enough demand. If this happens, then producers reduce production and lay off workers, which causes a drop in income and induces a decline in consumption, which then triggers further
 - ▶ However, if this \$10 million of saving is matched by an equal amount of investment, then no drop off in aggregate demand occurs.

- ▶ Such a match between saving and investment is assured in classical economics through flexible prices. However, in this case price flexibility applies to interest rates.
- ▶ Should saving not match investment, then interest rates adjust to restore balance. In particular, if saving exceeds investment, then interest rates fall, which stimulates investment and curtails saving until the two are once again equal.
- ▶ *Although of questionable realism, these three assumptions imply that the economy would operate at full employment. These three assumptions ensure that the macro economy would continue to produce the quantity of aggregate output that fully employs available resources. While a few resources might be temporarily unemployed, they would be quickly reemployed as resource prices (especially wages) adjust to equilibrium balance.*

Adam Smith

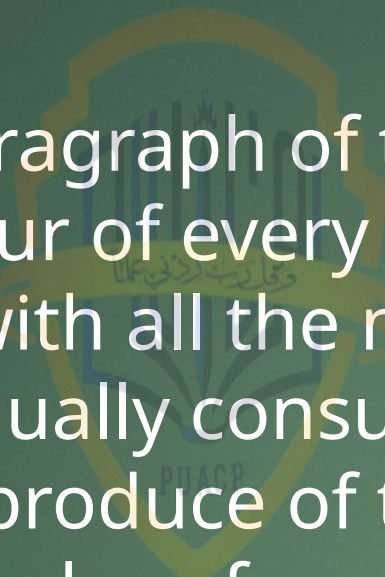
- ▶ Adam Smith is the founder of the classical school. He has been described as the “father of political economy”. His work “Wealth of Nations” is generally regarded as the starting point of classical school. Thomas Robert Malthus, David Ricardo, J.S. Mill and J.B. Say are the leading economists of the classical school.
- ▶ In 1751, Adam Smith was appointed on the chair of Moral Philosophy. In 1759, Smith published his Theory of Moral Sentiments. In 1776, he published his Wealth of Nations (An Inquiry into the Nature and Causes of the Wealth of Nations). Adam Smith’s Wealth of Nations was a challenge to mercantilism. Smith was the first economist to deal with economic problems in a systematic manner

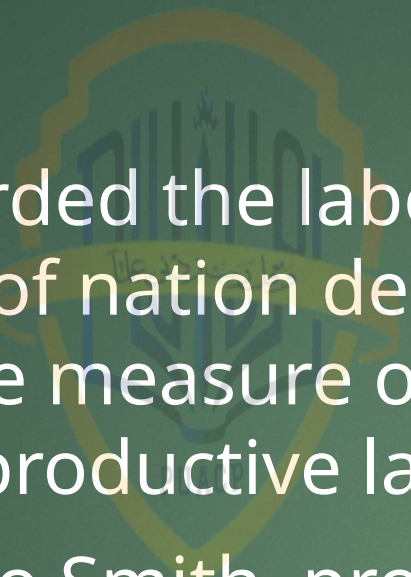
Smith's Economic Ideas

► Smith's thought is mainly embodied in his creation Wealth of Nations. The basics of his economic thoughts are summarized thus:

1. **Significance of labor**

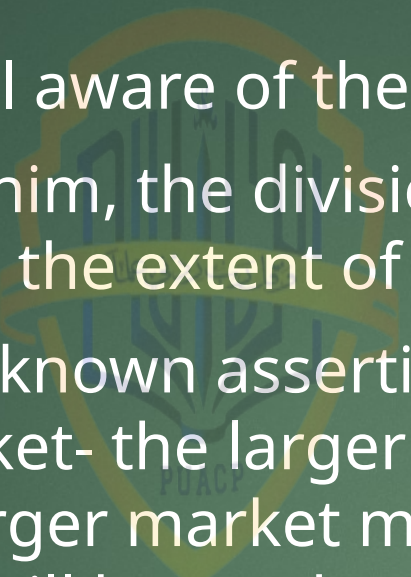
- According to mercantilists, the main source of wealth was trade. For the physiocrats, land (the bounty of nature) holds the central place. According to them, it was only land that was productive.
- The mercantilists considered labour as the father and active principle of wealth while land was considered the mother. In the starting of his book, Smith accepted the importance of labour and said that labour is the source of whole wealth. This thought of Smith is the basis of Wealth of Nations.

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- ▶ The First paragraph of the Wealth of Nations starts with “The annual labour of every nation is the fund which originally supplies it with all the necessaries and conveniences of life which it annually consumes and which consists either in the immediate produce of that labour, or in what is purchased with that produce from other nations.”
 - ▶ He did not undermine the importance of the role played by nature in production.
 - ▶ He simply meant that while physical environment is unchangeable, labour is variable, and that the wealth of nations varies with the variation in the labour factor.

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- ▶ Smith regarded the labour as the exclusive force upon which the wealth of nation depends. Smith makes labour the cause and also the measure of value. Smith lays emphasis on labour as “productive labour”.
 - ▶ According to Smith, productivity included any addition to exchange value i.e. productivity of labour was the value which it added to the materials on which it worked.
 - ▶ There is an important point to be noted here. All exchange value was not considered. The exchange value in relation to vendible commodities was considered. The unskilled servants, public officials and professional men were taken to be unproductive

2. Division of labour

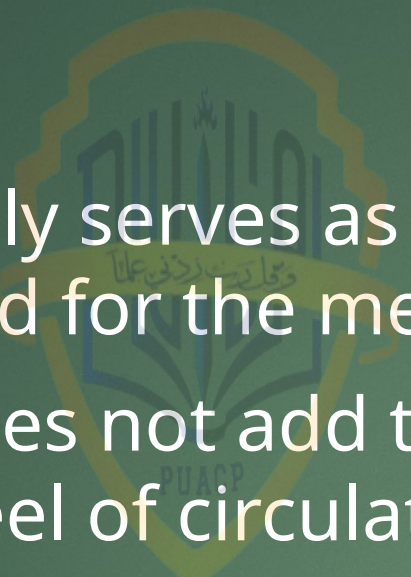
- ▶ Division of labour refers to the specialisation of labour in different industries or different processes within the same industry.
- ▶ Adam Smith has illustrated division of labour with the help of pin-making industry. "one man draws out the wire; another straightens it; a third cuts it; a fourth points it; a fifth grinds it at the top of receiving the head; to make the head requires two or three distinct functions; to put it on a peculiar business;...and the important business of making a pin is in this manner divided into about 18 distinct operations." if one man performed all the above operations, that is if there was no division of labour, man could not make more than twenty pins.
- ▶ But on the other hand, if division of labour was practised, the average production of each man was 4800 pins. This process of division enables each man to produce at least 240 times as many pin as he would if he worked alone.

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- ▶ Smith was well aware of the limitation of the scope and extension of labour.
 - ▶ According to him, the division of labour is necessarily limited by the nature of occupation, the extent of market and the quality of capital available.
 - ▶ He made well known assertion that division of labour is limited by the extent of market- the larger the market (exchange), the greater the division of labour. A larger market means greater demand. If there is wide demand for a good, it will be produced on a large scale and there will be a lot of scope for the application of division of labour.
 - ▶ In those industries which produce goods for international market, there will be great scope for division of labour. Self-sufficiency (no exchange) and division of labour do not go together. The application of division of labour depends upon the nature of goods. For example, the scope for division of labour is not as great in agriculture as in the case of manufacturing industry

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- ▶ Division of labour will increase the output per worker.
 - ▶ By doing the same kind of work constantly, the worker gets a great skill in his particular line. Practice makes a man perfect.
 - ▶ A man can work continuously on a single operation. He need not spend time in changing tools or passing from one process to another. Thus it saves time since one does not have to change his job frequently and □
 - ▶ Division of labour prepares the way for introduction of machinery. It will result in the invention of great number of machines which facilitate labour. In other words, division of labour is the mother of invention

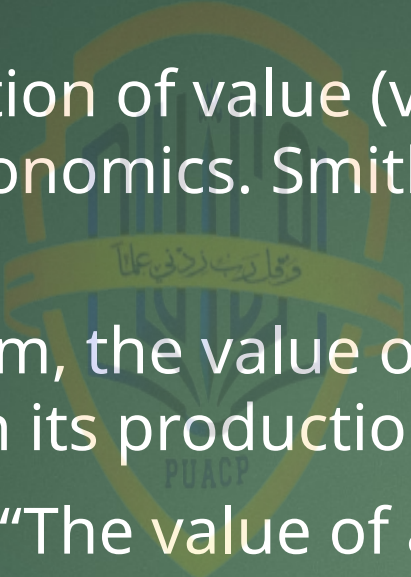
3. Money

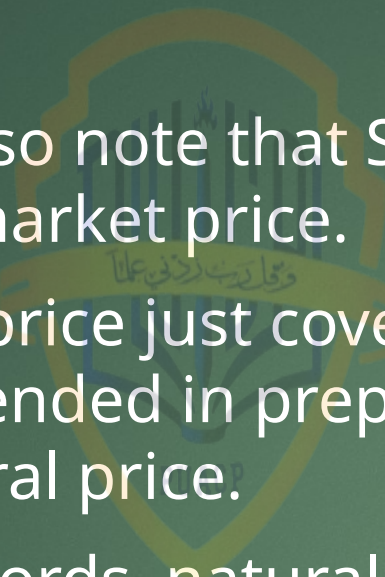
- ▶ After disposing of the subject of division of labour in the first three chapters, Smith takes up the subject of money.
- ▶ He attacked mercantilists because they overemphasised the role of money in an economy.
- ▶ According to Smith, “a nation’s true wealth consists not only in its gold and silver but in its land, houses and consumable goods of all different kinds.”
- ▶ Money is a medium of exchange which is essential to trade and commerce. It did away with the inconveniences of barter- it facilitates exchange and without it large scale commerce would not be possible. It was, therefore, an important factor contributing to the extension of division of labour.

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- ▶ Money only serves as an instrument for the circulation of wealth and for the measurement of value.
 - ▶ Money does not add to the revenue of society but it is a great wheel of circulation. It facilitates the circulation of goods.
 - ▶ Although the gold and silver coins that circulate in an economy form a valuable part of the capital of the country, they are dead stock and produce nothing.
 - ▶ Smith linked money to a highway over which the goods (produce) of a town is carried, but which itself does not produce a blade of grass.

4. Value-

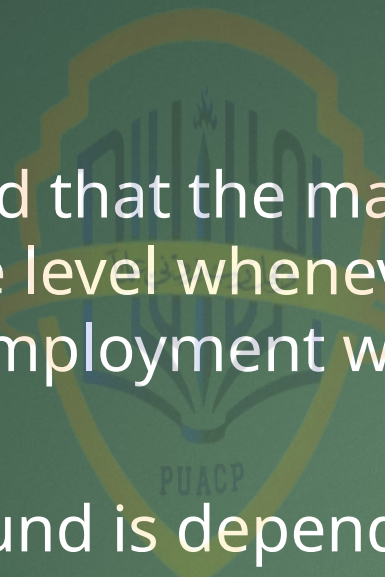
- ▶ According to Smith, there are two kinds of value: (1) value-in-use (2) value-in-exchange.
- ▶ Value-in-use expresses the utility of some particular object, in modern analysis, the capacity of a thing to satisfy wants.
- ▶ Value in exchange is the power of purchasing other goods. Smith points out the things which have the greatest value-in-use e.g. air and water have generally little or no value of exchange. And like this diamond has little value-in-use but it has great value-in-exchange

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- ▶ The determination of value (value-in-exchange) has been one of the central problems in economics. Smith believed that labour was the real source of value.
 - ▶ According to him, the value of the things depended on the amount of labour expended upon its production.
 - ▶ In other words “The value of any commodity, therefore to the person who possesses it, and who means not to use or consume it himself, but to exchange it for other commodities, is equal to the quantity of labour which it enables him to purchase or command.
 - ▶ Labour, therefore is the real measure of exchangeable value of all commodities.” Adam Smith emphasised that “Labour is the real measurement of the exchange value of all commodities.” This is the famous labour theory of value

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- ▶ We must also note that Smith made a distinction between natural price and market price.
 - ▶ When the price just covers the ordinary rate of interest, wages and profits expended in preparing and marketing the commodity, it sells at the natural price.
 - ▶ In simple words, natural price is that price which covers natural rates of interest, wages and rent. Thus, the concept of natural price is essentially “the cost of production” theory of value.
 - ▶ Opposed to the natural price is the market price, which is determined by the forces of demand and supply through the competition among the buyers and sellers. The market price may be below or above natural price.

5. Wage-

- ▶ According to Smith, wage is determined by the bargaining power of employers and wage earners.
- ▶ Employers, being limited in number, can easily organise themselves to form associations whereas the organisation of labour is not possible.
- ▶ The employers consistently try not to raise wages of labour above the actual rate. Hence, wages depend on the bargaining strength of both the parties.
- ▶ Since bargaining strength is on the side of employers, the labour gets only as much wage as will be sufficient to support him and his family. This is the subsistence level. According to Smith, "Masters cannot reduce wages below a subsistence rate."

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- ▶ He observed that the market level might be higher than the subsistence level whenever the society was progressing and the funds for employment were expanding more rapidly than the population.
 - ▶ Since this fund is dependent on the national wealth, the wage of labours will only increase with the increase in national wealth. In the stationary state, wages may be low.
 - ▶ Thus, Adam Smith has taken into account both demand for labour and supply of labour in the determination of wages. We find in it the trace of the wages-fund theory and the Malthusian theory of the Population.

6. Profit-

- ▶ Like wages, profit also depends upon the increasing and decreasing state of wealth in a country.
- ▶ Under the condition of competition, an increase in capital will lead to a decline in the rate of profit and vice versa.
- ▶ The capital stock determined the wages and demand for labour. In a developing society, (in new colonies) both wage and profit may be higher and in the stationary state, both wages and profit may be low.
- ▶ Profits vary from day to day on account of changes of price and fortune. Thus the average rate of profit is not easy to determine. But profits closely follow interest on money.
- ▶ Smith tried to prove that profit is equivalent to the total return on capital and interest is a constituent element in profit.

7. Interest

- ▶ Smith discusses profit and interest together. A part of profit is paid as interest to the capitalist. Interest arises when the capitalist does not himself employ his capital, but lends it. Interest is the price paid by the borrower to the capitalists.
- ▶ According to Smith, "Interest is the compensation which the borrower pays to the lender, for the profits which he has an opportunity of making by the use of the money." Interest is treated as a part of profit. The borrower pays interest if he makes profit.
- ▶ He believed that interest would vary with profit. Smith said, "Minimum interest must be something over and above what is sufficient to compensate the occasional losses to which lending is ordinarily exposed."

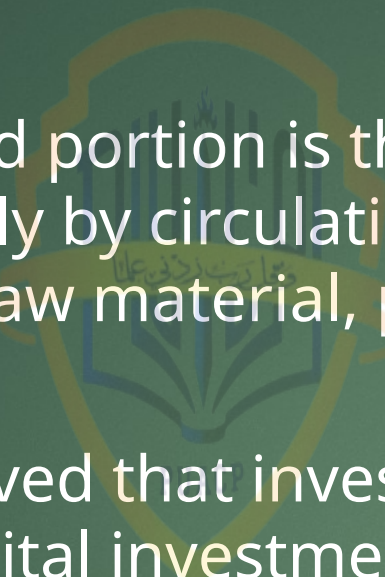
8. Rent

- ▶ Rent is a payment for the natural produce of land. It is a price paid for the use of land. Smith said, Rent was a mere extortion. This rent is the highest price a tenant can pay to the landowner.
- ▶ Land varies with fertility and situation. If land is far away from the market, much more labour is required by the tenant. Thus the surplus (rent) left over for the landowner is diminished.
- ▶ Differences in fertility generate differences in rents. Superior fertility means higher rent.
- ▶ Smith's ideas on rent are not clear-cut. Smith was inconsistent while discussing the relation between rent and price. Smith states that the amount of rent depends upon price and price depends on rent- a contradiction

9. Capital

- ▶ Smith had realised the importance of the role of capital in the economic development of a nation. He treated capital as an important source of national wealth.
- ▶ Besides division of labour and money, capital plays a great role in production.
- ▶ He was aware of the fact that capital accumulation is essential for the industrial development of a nation.
- ▶ Smith holds the view that the accumulation of “stock” (capital) depends upon the extent of the application of division of labour which is necessarily limited by the extent of market, the density of population and the machinery of commerce

- ▶ The division of labour is itself governed by the amount of capital accumulated. The accumulation does not only determine the amount of industry but also its efficiency.
- ▶ In the opinion of Adam Smith, “the portion of the income that was saved was immediately employed as a capital.” In other words, an act of saving at once becomes an act of investment.
- ▶ Smith has classified capital in three portions which sets the labour in motion.
- ▶ 1. The first portion is that portion of the stock of an individual of a society which yields revenue, as contrasted with that portion of the stock which is used for immediate consumption.
- ▶ 2. The second portion of capital is the fixed capital. It affords a revenue or profit without circulating or changing masters, e.g. buildings, machines, improvement of land, instruments of trade which facilitate and save labour

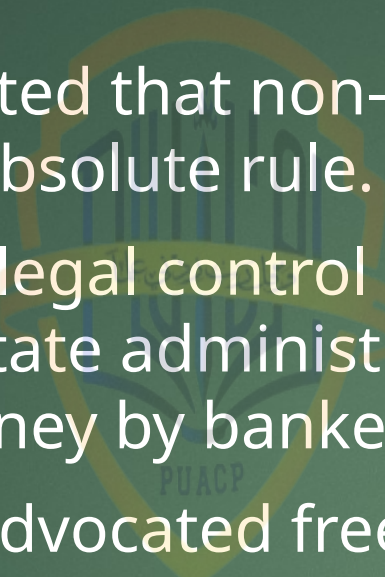
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- ▶ 3. . The third portion is the circulating capital which affords a revenue or profit only by circulating or changing hands, e.g. money, stock for provision, raw material, partly manufactured goods and finished products
 - ▶ Smith believed that investment in agriculture is the most productive form of capital investment because in agriculture “nature labour along with man.”
 - ▶ Industry, manufactures and domestic and foreign trade come next. The capital invested in agriculture not only sets in motion a great quantity of productive labour but also add a much greater quantity of annual produce to the real wealth of the country

10. Free Trade

- Smith advocated free trade. Free trade means that trade among countries is not subject to restrictions. Smith was opposed to the mercantilist theory of balance of trade.
- Smith did not accept the mercantilist view that foreign trade is advantageous because it acquires gold and silver. According to him, gold and silver, just like other commodities and in the natural course of trade, will come to any country as other commodities do. Therefore, he does not agree that the export of gold and silver should be restricted.
- According to him, the only advantage from foreign trade is that it carries out surplus commodities and brings in commodities which are in demand. He treated foreign trade as domestic trade and considers it as much responsible for extending division of labour.

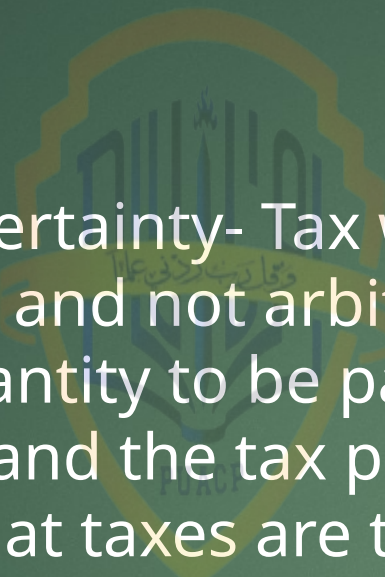
11. Role of Government

- ▶ Smith advocated minimum role for the state in economic affairs. He considered non-intervention by government in economic matters as a wise policy.
- ▶ In his view, governments are always and without any exception, the greatest spendthrifts in the society. According to Smith, state could perform only the following three major functions-
 - To protect society from foreign attacks
 - To establish the administration of justice within the country
 - To erect and maintain the public works and institutions that private entrepreneurs cannot undertake privately.

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- ▶ It is to be noted that non-intervention for Smith was a general principle and not an absolute rule.
 - ▶ He justified legal control over interest rates, compulsory elementary education, state administration of post offices, and control over the issue of paper money by bankers.
 - ▶ Though he advocated free trade, he favoured two kinds of protectionist tariffs-
 1. Those tariffs that protect a domestic industry essential to the defence of the country.
 2. Those that equalise the tax burden on a particular domestic industry by imposing a tariff on imports of that good. Smith also suggested that if free trade is to be introduced in a country after a long period of protectionism, it should be done gradually in order to avoid unemployment.

Canon of taxation

- ▶ Canon means a standard by which a thing is judged; it means a criterion. Therefore, canons of taxation are the criteria of taxation. According to Smith, the revenue of the sovereign is derived from two sources- (1) Funds, land and capital of the state and (2) taxes . Adam Smith has laid down four canons of taxation:
- ▶ 1. Canon of Equity- It can also be called the canon of ability. Smith stated it as: "The subject of every state ought to contribute towards the support of the government as nearly as possible in proportion to their respective abilities, that is, in proportion to the revenue which they respectively enjoy under the protection of state."

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- ▶ 2. Canon of certainty- Tax which each individual is bound to pay ought to be certain, and not arbitrary. The time of payment, manner of payment, quantity to be paid ought all to be clear to every person. The government and the tax payer should have knowledge about how and when and what taxes are to be levied. It is good for government because it provides a sort of correct estimate about prospective income. The certainty about taxes is good for taxpayers because he knows where he stands

- ▶ 3. Canon of Convenience –The manner and the time of tax payment should be convenient to the taxpayer. The idea is that the taxpayer should be psychologically and financially prepared for the onslaught of the tax. Smith stated, “Every tax ought to be levied at the time or in manner in which it is mostly likely to be convenient for the contributor to pay it.”
- ▶ 4. Canon of Economy- This canon states that the cost of the tax collection should be the minimum possible. The revenue from a tax should be much more than the cost of its collection. Smith stated, “Every tax ought to be so contrived as both to take out and to keep out of the pockets of the people as little as possible over and above what it brings into the public treasury of the state.” Taxation is an act of production. Therefore, both production and taxation imply the practice of economy. Every producer would try to produce at the lowest cost. In the matter of taxation also there is need to practise economy. This is a modern version of the canon of economy

T.R. MALTHUS

- ▶ Thomas Robert Malthus was born in 1766. After studying philosophy and theology at Cambridge, he graduated with honours in 1788 and was soon made fellow at Jesus College. In 1805, he was appointed as the professor of History and political economy in the college founded by East India Company in England. He remained on this post until his death in 1834.
- ▶ Malthus is famous for his theory of Population. But another significant contribution of Malthus to economic analysis is theory of market gluts where he discusses the problem relating to the inadequacy of aggregate demand.
- ▶ The main works of Malthus: 1. An Essay of on the Principle of Population
2. The Principle of Political Economy

Malthusian Theory of Population

- ▶ As we know Mercantilists and Mirabeau had always regarded a large population as advantageous. They never entertained any fear of overpopulation because they thought that population will automatically be controlled by the means of subsistence. Malthus did not agree with this
- ▶ The Malthusian theory of population is a well-known theory about the growth of population. The first edition of the essay attracted the widest attention. The idea put forward by him in the essay has come to be known as the Malthusian theory of population.
- ▶ The Malthusian theory of population discusses the relationship between population and supply of food. In simple words, all that the theory states is that population increases at a faster rate than food supply.

► Malthusian theory of population is based on the following two fundamental assumptions-

1- Food is necessary for the existence of man

2- Passion between the sexes is necessary and will remain nearly in its present state.

On the basis of the above two assumptions, Malthus stated that “the power of population is indefinitely greater than the power in the earth to produce subsistence for men.”

Population, when unchecked, increases in a geometric ratio (i.e. at the rate of 2,4,8,16...) while the supply of food increases only in an arithmetic ratio (i.e. at the rate of 2,4,6,8, 10 etc.)

Malthus believed that the population of the country, when unchecked, would double itself in every twenty five years. But food supply will not increase as fast as population on account of the influence of the law of diminishing returns on land

. He further said that if population will increase at a fast rate, there will not be enough food for all. Because the population outgrows food supply. The growth of population has to be checked. This can be done by the application of some checks by nature or by man himself or by both.

The successive edition appeared in a revised form. The second edition of the essay was published in 1803. In this edition, Malthus altered his arguments to a great extent and the discussion appeared to be more mature. In the first edition, he stated only two checks on population but in the second edition, he introduced a third check i.e. moral restraint. It may be interesting to note that Malthus did not mention a tendency to diminishing returns in agriculture until second edition of the essay.

His main point was that the pressure of population on food supply was ever present. In the second and subsequent editions, Malthus made his statements more carefully and with great caution.

He summarized his doctrine into three propositions-

- (i) Population is necessarily limited by the means of subsistence.
- (ii) Population invariably increases more than the means of subsistence unless prevented by some powerful and obvious check and
- (iii) The checks which repress the superior power of population and keep its effects on a level with the means of subsistence are resolvable into more restraint, vice and miser

- ▶ In the first edition Malthus has spoken of two kinds of checks on population growth-
- ▶ **(i) Preventive Checks-** Those checks which are applied by men for checking population growth are called preventive checks. Preventive checks are major checks to control birth rate. Malthus suggested that those who cannot afford the upbringing of children should either postpone marriage or never marry. Malthus disapproved of vice as a preventive check. These include prostitution and birth control, both of which reduced the birth rate.
- ▶ **(ii) Positive Checks-** War, famine, starvation and diseases are the positive checks on population. They increase the death rate. If population is not checked by the preventive methods, then it will be checked by natural phenomenon such as famine, starvation and death. Thus, Malthus presents a dark and pessimistic picture about the future of mankind.
- ▶ In the second edition of the essay, Malthus added a new check called '**Moral Restraint**'. By moral restraint, Malthus simply meant the postponement of marriage. He did not approve of the birth control methods preached by neo-Malthus'.

- ▶ By 'check' Malthus might have even meant the means of establishing and adjustment between the population and the means of subsistence. The Malthusian theory of population was popular for nearly a century. It formed the basis of action for many governments.
- ▶ Malthus considers the poor to be entirely responsible for their poverty and misery. Poverty and misery are the natural punishments for the poor class because they have failed to restrict their numbers.
- ▶ It follows from the above view that the government should not provide relief to the poor by means of "Poor Laws". If aid is given to the poor then more children would survive and provoke the problem of hunger and misery.
- ▶ So Malthus suggested the gradual abolition of "Poor Laws". The ideas of Malthus were incorporated in the Poor Law Amendment of 1834. The new poor law abolished all relief for able-bodied people outside work houses.

► **Criticism:** 1. According to Malthus, population in a geometric progression. He has tried to prove that population doubles itself every 25 years. Even though there is no historical proof for this. Population does not grow in the manner suggested by Malthus. His ratios have been proved wrong by history.

2. His doctrine has been criticized on the point that the means of subsistence increase in arithmetical progression. The Malthusian theory is based on the law of diminishing returns. He has overlooked the possibilities of scientific improvement in agriculture for example, Agrarian Revolution took place in England along with the industrial revolution that brought about a huge increase in the production of agricultural products and food supply.

3. It is true that in many countries population has increased at a rapid rate. But food supply has also increased and people have not died of hunger in those countries. In fact, the standard of living today is much higher than it was a century ago.

4. Malthus has overemphasized the relationship between population and food supply. The problem of population as a whole is then not one of size, but of efficient production and equitable distribution, i.e. it is not a problem of numbers alone but of wealth

5. This is an age of International Trade and Commerce. If a country does not grow enough food grains itself, it can import food grains from other countries

6. Malthus' doctrine has been further attacked in respect of positive checks. According to him, when population outgrows the means of subsistence, excessive population must die of starvation. He has tried to prove how insufficient nourishment leads to hunger and deaths due to epidemics, infanticide etc. He has named these as positive checks. But the truth is that insufficiency of food is due to incapacity of production and due to excessive population

7. Malthus thought that any addition to population is undesirable but "Every mouth brings with it a pair of hands". Since man is the source of labour, large numbers may sometimes mean greater wealth, strength and power

Other Economic Views of Malthus:

1. Rent:

- ▢ Malthus did not enunciate a specific theory of rent. Despite this, no account of his contribution to the development of economic thought can be complete without reference to his views on rent.
- ▢ The views of Malthus on rent are found in An Inquiry into the Nature and Progress of Rent. Malthus defended the Corn Laws and emphatically stated that the reason for high prices of food were population growth and progress.
- ▢ The growth of population leads to scarcity of food, for the production of which, good land has become scarce. Consequently, price of the produce raised from the already cultivated land rises due to an increase in the rate of rent.

- According to Malthus, rate of rent increased because of the following factors:-
- (i) There was shortage of fertile land.
- (ii) This necessitated the cultivation of lands of low fertility.
- (iii) The produce in each case is sold at natural price. The price of produce in each progressive country would be equal to the cost of production on land of the poorest quality actually in use. Naturally, land with higher fertility will get rent. Thus, Malthus more or less anticipated the Ricardian theory of Rent

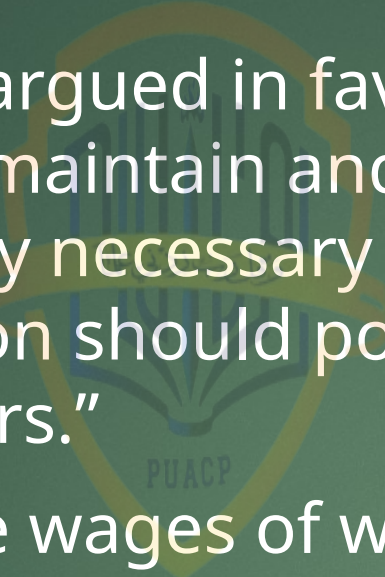
► Value:

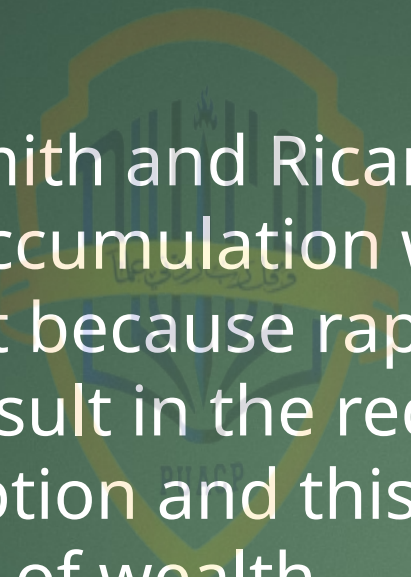
- ▢ The contribution of Malthus to the theory of value is negligible. In fact, he did not develop the theory of value.
- ▢ He was somewhat confused about it. At one point he criticised Adam Smith's theory of value and at another point in his earlier writings, he used Smith's definition of value, that is, he describes value as the power to command other goods, including labour.
- ▢ He also stated that the amount of labour that is necessary for the production of commodities determines their value
- ▢ . But he later developed a cost of production theory which includes profit. In simple words, Malthus defined value as the amount of (Stored and current) labour plus profit

Market Gluts or Over-Production:

- ▶ In his theory of market gluts he discusses the problems relating to inadequacy of aggregate demand which later proved to be the foundation stone of Keynesian economics.
- ▶ Ever since the 1930s, aggregate demand has become a central problem in economics and Malthus is regarded as the forerunner of modern thought. In his analysis of effective demand, Malthus differed from Ricardo and other classical writers.
- ▶ According to the classical economists, a supply creates its own demand and, demand its own supply. This theory was particularly stated by J.B. Say. The idea expressed by Say was further developed by Ricardo and other writers which implied that in the long run adjustment takes place between demand and supply and therefore, there is no possibility of over production.

- ▶ There may be overproduction and under-production in the short run, but generally over production in the long run was hardly possible. The view can be elaborated further. In their opinion, if the supply of any commodity is more than its demand, it will be balanced by another's demand being in excess of supply. Consequently, market gluts are impossible and the accumulation of capital at a rate greater than investment opportunities may not be possible.
- ▶ Malthus was interested in the volume of output day by day in real world. In the opinion of Malthus, the level of output at any time depended upon effective demand. According to him, effective demand is that demand at which the cost plus the profit for the businessmen covered and the production is determined by this demand. In other words, production depended on the existence of effective demand is, demand which enabled the producer to cover cost plus profit.

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- ▶ Malthus argued in favour of unproductive consumption in order to maintain and increase effective demand. "It is absolutely necessary that a country with great powers of production should possess a body of unproductive consumers."
 - ▶ Since the wages of workers are so low they cannot demand many goods.
 - ▶ The capitalists, if they want can consume the excess of products. But the capitalists are more interested in saving and accumulation of capital. Their actual habits and mode of living do not give them enough opportunities for unproductive spending on sufficient scale.

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- ▶ Adam Smith and Ricardo were in favour of saving and capital accumulation without limit, Malthus argued against it because rapid accumulation of capital would result in the reduction of unproductive consumption and this in turn would check the progress of wealth.
 - ▶ Malthus was not against saving as such. He suggested that a proper balance must be maintained between saving and consumption.
 - ▶ In the class of unproductive consumers, Malthus included landlord, soldiers, Judges, lawyers, menial servant, physicians, surgeons and clergymen.

- ▶ Malthus used the concept of effective demand to show that the economic system was not self-adjusting. Unless a large body of unproductive consumers was maintained, there would be periodic over-production, gluts in the market and stagnation.
- ▶ Thus for the first time in the history of English economic thought, Malthus has pointed out the possibility of crises in the form of trade cycle because of the inherent defects of the capitalist system.
- ▶ Many modern writers regarded Malthus as a forerunner of many under-consumption theories. Thus, Malthus had some insight into one of the most important problems of the modern economy, the maintenance of the level of aggregate demand

The contribution of Malthus to Economic thought

- ▶ 1. He was the first economist to throw light on the dangers of excessive population
- ▶ 2. Malthusian theory of population has introduced a dynamic factor into economics. Before Malthus, most of the economic analysis was based on the assumption of “other things being equal” but Malthusian theory of population made it an unrealistic assumption for population was always changing.
- ▶ 3. Malthus was the first economist to devote an entire book to the study of the principle of population. Malthusian theory of population has become a starting point for all modern studies of the problem. He has been rightly described as the “founder of modern demography”.

- ▶ 4. Malthus collected a lot of historical and statistical data to illustrate his theory. He used his knowledge of mathematics and desired to prove the strength of his argument, justifies his claims for being included among the founders of historical economics.
- ▶ 5. His entire analysis of the causes of over-production and the principle of effective demand shows that he possessed a keener insight into these subjects than others, especially Ricardo. His views were more akin, in this respect, to modern thinking.
- ▶ 6. Malthus is the forerunner of many under-consumption theories of trade cycle.
- ▶ 7. In his essay he provides a clue to understand the problems of social reform in their true perspective, especially those relating to wages, poor law etc